
بسم الله الرحمن الرحيم

INTERNATIONAL MONETARY FUND (IMF)

AGENDA

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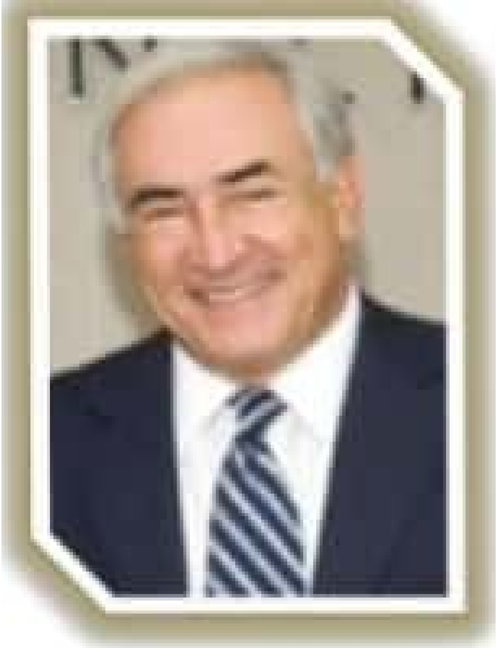
What Is IMF?

International Monetary Fund (IMF) is an organization working to ***foster global monetary cooperation,*** of 188 countries to :

- Secure financial stability,
- Facilitate international trade,
- Promote high employment and
- Sustainable economic growth,
- and Reduce poverty around the world.

Organization formed with a stated objective of stabilizing international exchange rates and

Fast facts



- Membership: 188 countries
- Headquarters: Washington, D.C.
- Executive Board: 24 Directors representing countries or groups of countries
- Staff: Approximately 2,670 from 154 countries
- Total Quotas : US$ 360 billion
- Biggest Borrowers : Greece , Portugal ,Ireland

History

In April 1943, Lord Keynes evolved a plan for resolving clearing of international payments.

These plan came under the joint scrutiny of American and British government in April 1944.

The plan for an IMF was put into final form at a United Nations Conference held at Bretton Woods with 45 members.

The IMF was conceived in July 1944, when representatives of 45 governments agreed on a framework for international economic cooperation.

The IMF came into formal existence in December 1945, when its first 29 member countries signed its Articles of Agreement

It began operations on March 1, 1947. Later that year, France became the first country to borrow from the IMF.

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Par value system (Bretton Woods system):

Member countries agreed to peg their currencies in US Dollar terms and for US, the value of Dollar in terms of Gold-to correct Fundamental Disequilibrium.

The Pakistan became a member of IMF in 1956

Member Countries

188 Countries

To become a member, a country must apply and then be accepted by a majority of the existing members.

In April 2012, the South Sudan joined the IMF.

Quota

Organization structure

Board of Governors

The Board of Governors is the highest decision-making body of the IMF.

The governor is appointed by the member country and is usually the minister of finance or the head of the central bank.

Ministerial Committees

The IMF Board of Governors is advised by two ministerial committees, the International Monetary and Financial Committee (IMFC) and the Development Committee.

The IMFC has 24 members, drawn from the pool of 186 governors

Organization structure

The Executive Board

The IMF's 24-member Executive Board takes care of the daily business of the IMF.

Together, these 24 board members represent all 186 countries.

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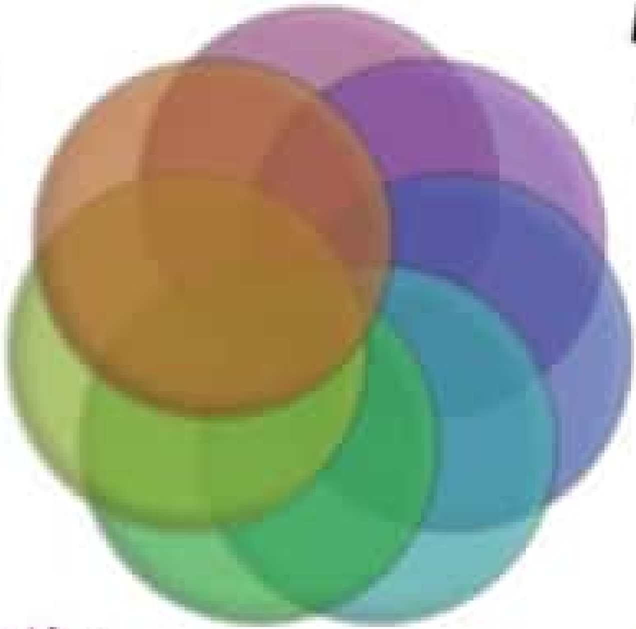
Board of governors
Advisory role
Ministerial Committees
The Executive Board

Functional Departments Of IMF

Finance Department

Statistics Department

Fiscal Affairs Department



Research Department

Monetary and Capital Markets Department

Strategy, Policy, and Review Department

Legal Department

Functions Of IMF

- Policy advice to governments and central banks.
- Research, statistics, forecasts, and analysis.
- Loans to help countries overcome economic difficulties.
- Concessional loans to help fight poverty in developing countries.
- Technical assistance and training to help countries improve the management of their economies.

How IMF Help Member Countries

SURVEILLANCE

- When a country joins the IMF, it agrees to subject its economic and financial policies to the FUND.

LENDING

- Lending to countries with balance of payments difficulties
- Financial assistance to countries to meet International Payments

TECHNICAL ASSISTANCE

- To assist mainly low- and middle-income countries in effectively managing their economies

The IMF provides technical assistance and training mainly in four areas:

- Monetary and financial policies
- Fiscal policy and management
- Management of statistical data
- Economic and financial legislation.

Financing Facilities

Reserve tranche policies

Credit tranche policies

Emergency assistance

Debt and debt service reduction

Contd..

Poverty reduction and growth facilities

Compensatory financing facility

Contingent Credit lines

Special drawing rights

PROCESS OF IMF LENDING

- IMF Loans are usually granted under an "ARRANGEMENT".
- The Executive Board Of The Fund has to approve all arrangements.
- These arrangements are based on the economic program formulated by the concerned country in consultation with the Fund.

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Then they are presented to the Executive Board of the Fund in a "Letter of Intent".

Loans are released in phased installments as the program is carried out.

IMF and Pak Economy

The following are the main sectors of Pakistan economy:

- Agriculture
- CNG Industries
- Automobile industry
- Cement industry
- IT industry
- Services industry
- Communication industry
- Textiles
- Imports
- Exports
- Electricity

These are the different sectors which acquire proper fund. In such case Pakistan takes loan from IMF and WORLD BANK.

Benefits To Pakistan

- 1988-91 $ 900 million
- 1994-97 $850 million
- 1997-2000 $ 500 million
- 2008-09 $ 7.6 billion
- 2009-10 $3.2 billion
- 2012-13 $3.4 billion
- 2013-14 $3.43 billion

Special Drawing Rights

The SDR is an international reserve asset, created by the IMF in 1969 to supplement its member countries' official reserves.

The amount of SDRs increased from SDR 21.4 billion to SDR 204.1 billion.

SDR Allocation To members

Under its ARTICLES OF AGREEMENT , the IMF may allocate SDRs to members in proportion to their IMF quotas.

1.GENERAL ALLOCATION

2. SPECIAL ALLOCATION

SDR Valuation

The currency value of the SDR is determined by summing the values in U.S. dollars, based on market exchange rates, of a basket of major currencies.

The SDR currency value is calculated daily and the valuation basket is reviewed and adjusted every five years.

What happens to the SDRs once they are allocated?

- The IMF's SDR Department keeps records of members' SDR allocations and holdings; the SDR Department is also the channel through which all transactions and operations involving SDRs are conducted.

- Once allocated, members can hold their SDRs as part of their international reserves or sell part or all of their SDR allocations.

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- IMF members can also use SDRs in operations and transactions involving the IMF, such as the payment of interest and repayment of loans, or payment for future quota increases.


Thank You